# CLOSING STATEMENT

Quarry Station District | Cleveland, OH

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|---|---|
| **Property** | Quarry Station District |
| **Settlement Date** | February 13, 2022 |
| **Buyer** | Tidewater Core Fund |
| **Seller** | Lakeside Family Partnership |
| **Sale Price** | $73,140,000 |

## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Purchase price | $73,140,000 | | | |
| Earnest money deposit | | $439,601 | $439,601 | |
| Real estate tax proration | $492,118 | | | $492,118 |
| Rent proration | | | $580,127 | |
| Security deposits assumed | $133,635 | $133,635 | | |
| Prepaid rents | | | $63,019 | $63,019 |
| Owner's title policy premium | $720,720 | | | |
| Lender's title policy premium | | $470,138 | $470,138 | |
| Escrow fee | $443,364 | | | $443,364 |
| Recording fees | | | $478,152 | |
| Transfer tax | $248,030 | $248,030 | | |
| Survey | | | $382,963 | $382,963 |
| Legal fees - Buyer | $211,627 | | | |
| Legal fees - Seller | | $235,481 | $235,481 | |
| Broker commission | $673,759 | | | $673,759 |
| Loan origination fee | | | $251,651 | |
| Lender legal | $560,288 | $560,288 | | |
| Appraisal fee | | | $528,526 | $528,526 |
| Environmental report | $360,473 | | | |
| Property condition report | | $635,671 | $635,671 | |
| Tax escrow deposit | $273,030 | | | $273,030 |
| Insurance escrow deposit | | | $165,455 | |

Report generated 02/13/2022. Figures are unaudited and subject to change.

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## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Legal fees - Buyer | $73,140,000 | | | |
| Legal fees - Seller | | $40,747 | $40,747 | |
| Broker commission | $458,559 | | | $458,559 |
| Loan origination fee | | | $425,396 | |
| Lender legal | $145,957 | $145,957 | | |
| Appraisal fee | | | $437,113 | $437,113 |
| Environmental report | $59,291 | | | |
| Property condition report | | $590,002 | $590,002 | |
| Tax escrow deposit | $313,980 | | | $313,980 |
| Insurance escrow deposit | | | $441,287 | |
| Replacement reserve deposit | $421,582 | $421,582 | | |
| Utility deposits | | | $55,925 | $55,925 |
| Assumed vendor contracts credit | $443,947 | | | |
| Tenant improvement credit | | $244,445 | $244,445 | |
| Courier / wire fees | $496,267 | | | $496,267 |
| Municipal certificates | | | $615,481 | |
| Purchase price | $527,353 | $527,353 | | |
| Earnest money deposit | | | $72,531 | $72,531 |
| Real estate tax proration | $437,559 | | | |
| Rent proration | | $131,308 | $131,308 | |
| Security deposits assumed | $373,089 | | | $373,089 |
| Prepaid rents | | | $200,251 | |
| Owner's title policy premium | $252,625 | $252,625 | | |
| Lender's title policy premium | | | $176,079 | $176,079 |
| Escrow fee | $400,592 | | | |
| Recording fees | | $72,723 | $72,723 | |
| Transfer tax | $571,941 | | | $571,941 |
| Survey | | | $231,559 | |

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## Operating Performance

Debt service coverage ratio was 7.06x on a trailing basis against a covenant minimum of 1.20x. The property is walkable to transit, with 48 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The going-in capitalization rate of 6.19% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Effective gross income for the trailing period was $412,000, representing a 6.2% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.98% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 5.1% over the hold period. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

## Income and Expense Review

The property is walkable to transit, with 39 structured parking spaces shared between uses. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Operating expenses totaled $125,000 or approximately 31.81 per square foot, with real estate taxes representing the largest line item. Percentage rent and CAM reimbursements are tracked separately for the commercial component. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $357,000, representing a 2.8% increase over the prior year. Debt service coverage ratio was 6.00x on a trailing basis against a covenant minimum of 1.20x.

## Financial Analysis

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Operating expenses totaled $99,000 or approximately 25.94 per square foot, with real estate taxes representing the largest line item. The property is walkable to transit, with 17 structured parking spaces shared between uses. The going-in capitalization rate of 7.96% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.87x on a trailing basis against a covenant minimum of 1.20x.

The property is walkable to transit, with 5 structured parking spaces shared between uses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Effective gross income for the trailing period was $136,000, representing a 11.0% increase over the prior year. Operating expenses totaled $55,000 or approximately 13.85 per square foot, with real estate taxes representing the largest line item.

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## Settlement Statement - Itemized Charges

| Description | Buyer Debit | Buyer Credit | Seller Debit | Seller Credit |
|---|---|---|---|---|
| Assumed vendor contracts credit | $73,140,000 | | | |
| Tenant improvement credit | | $270,186 | $270,186 | |
| Courier / wire fees | $501,613 | | | $501,613 |
| Municipal certificates | | | $648,951 | |
| Purchase price | $275,470 | $275,470 | | |
| Earnest money deposit | | | $648,785 | $648,785 |
| Real estate tax proration | $326,703 | | | |
| Rent proration | | $324,453 | $324,453 | |
| Security deposits assumed | $342,684 | | | $342,684 |
| Prepaid rents | | | $366,295 | |
| Owner's title policy premium | $388,043 | $388,043 | | |
| Lender's title policy premium | | | $526,461 | $526,461 |
| Escrow fee | $165,104 | | | |
| Recording fees | | $725,588 | $725,588 | |
| Transfer tax | $574,174 | | | $574,174 |
| Survey | | | $471,529 | |
| Legal fees - Buyer | $326,789 | $326,789 | | |
| Legal fees - Seller | | | $490,350 | $490,350 |
| Broker commission | $682,626 | | | |
| Loan origination fee | | $249,817 | $249,817 | |
| Lender legal | $436,536 | | | $436,536 |
| Appraisal fee | | | $645,932 | |
| Environmental report | $486,814 | $486,814 | | |
| Property condition report | | | $625,794 | $625,794 |
| Tax escrow deposit | $600,598 | | | |
| Insurance escrow deposit | | $647,490 | $647,490 | |
| Replacement reserve deposit | $429,792 | | | $429,792 |
| Utility deposits | | | $436,018 | |

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## Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Debt service coverage ratio was 6.98x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The property is walkable to transit, with 18 structured parking spaces shared between uses. Net operating income is projected to grow at a compound annual rate of 3.7% over the hold period. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Effective gross income for the trailing period was $306,000, representing a 2.1% increase over the prior year. Operating expenses totaled $53,000 or approximately 31.73 per square foot, with real estate taxes representing the largest line item.

## Operating Performance

Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.64x on a trailing basis against a covenant minimum of 1.20x. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Percentage rent and CAM reimbursements are tracked separately for the commercial component. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period. Effective gross income for the trailing period was $416,000, representing a 13.3% increase over the prior year.

## Operating Performance

Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. Debt service coverage ratio was 7.49x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $442,000, representing a 10.1% increase over the prior year. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

The property is walkable to transit, with 46 structured parking spaces shared between uses. Operating expenses totaled $139,000 or approximately 37.41 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $59,000, representing a 4.1% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

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# Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

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Quarry Station District Owner LLC

By: Natalie Schmidt Title: Manager Date: 02/13/2022

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Bluebird Design Studio

By: Sofia Larsen Title: President Date: 02/13/2022

## Exhibit A - Property

Quarry Station District, 3072 Ridge Avenue, Cleveland, OH 69868. Parcel containing approximately 19.48 acres, together with all improvements thereon.

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